

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

CE GLOBAL NETWORK LLP., *Claimant*

v.

OCEAN LINE LOGISTICS, INC., *Respondent*.

DOCKET NO. 2056(I)

Served: July 31, 2026

ORDER OF: Debra L. TESH, *Small Claims Officer*.

INITIAL DECISION¹

I. INTRODUCTION

A. Overview

This proceeding arises from an informal small claims complaint (“Claim”) filed by CE Global Network LLP (“Claimant”) against Ocean Line Logistics, Inc. (“Respondent”) before the Federal Maritime Commission (“FMC” or “Commission”). The Claim alleges that Respondent violated section 41102(c) of the Shipping Act. 46 U.S.C. § 41102(c).

Claimant alleges that, despite having received full payment of freight charges for nine shipments, Respondent refused to release the shipping documents necessary to obtain delivery of the corresponding containers unless Claimant paid Respondent an additional \$20,000 characterized as a “deposit” for four unrelated shipments shipped by Respondent’s affiliate and transported on another carrier line. At no point, Claimant asserts, has Respondent produced a valid tariff item, negotiated rate arrangement (“NRA”), service contract, written agreement, carrier invoice, debit note or other documentation authorizing Respondent to collect a container deposit charge as security until the consignee collects the cargo and returns the container. Claimant seeks reparations in the amount of \$20,000 plus interest. Claim, at ¶ IV. During unsuccessful settlement negotiations following the filing of the Claim, Claimant paid the disputed invoices under protest to release the nine shipments. *See* May 6, 2026 Email.

Respondent does not dispute that it required Claimant to pay an additional \$20,000 for the unrelated shipments to release the containers. Respondent contends, however, that these charges were justified as financial security against possible non-collection of the containers. Respondent asserts that Claimant has numerous shipments remaining uncollected at destination

¹ Pursuant to 46 C.F.R. § 502.304(g), this initial decision will become final unless the Commission elects to review it within thirty (30) days of service.

ports, resulting in substantial demurrage and detention charges for which Respondent, as the service contract provider and shipper on the bill of lading, is financially responsible. Moreover, because Claimant is a Singapore-based company, Respondent claims it faces difficulty recovering outstanding invoices.² *See* Response.

For the reasons discussed in this decision, Claimant has established by a preponderance of the evidence that Respondent violated 46 U.S.C. § 41102(c) by engaging in an unjust and unreasonable practice of withholding release of cargo as leverage to collect speculative costs that Respondent asserts it may incur for unrelated shipments. Claimant is entitled to reparations in the amount of \$20,000 plus interest beginning on the date of injury. Accordingly, judgment will be granted in favor of Claimant in that amount with applicable interest, and all other requested relief not expressly granted is denied.

B. Procedural History

On March 30, 2026, the Office of the Secretary (“OS”) of the FMC received the Claim. On April 6, 2026, OS served a Notice of Filing of Small Claims Complaint and Assignment (“Notice”) and a copy of the Claim on the parties and instructed Respondent to file a formal response by May 1, 2026. *See* Notice.

Despite requests from the Office of Administrative Law Judges (“OALJ”), the parties copied the OALJ on numerous email exchanges demanding and disputing payment. Unless specifically cited in this decision, these emails are not part of the record and are not considered.

On April 10, 2026, Claimant remitted payment to Respondent for the deposit invoices. *See* April 11, 2026 Email Chain and attached bank transfer confirmation. On April 13, 2026, Respondent released the nine disputed shipments. *See* April 13, 2026 Email Chain.

On April 13, 2026, Claimant filed supplementary evidence (“Supplement”) consisting of email exchanges memorializing Claimant’s previous efforts to settle the issue. *See* Supplement.

On May 6, 2026, Claimant emailed the OALJ requesting that the Claim proceed to disposition without further accommodation to Respondent because the deadline for Respondent’s response had passed. Claimant further advised the OALJ that it had paid the \$20,000 deposit Respondent demanded to secure release of the nine shipments, but stated this payment was made under protest. Claimant continued to request reimbursement of the \$20,000 payment as reparations for Respondent’s violation of section 41102(c). *See* May 6, 2026 Email.

On May 11, 2026, Respondent emailed the OALJ acknowledging receipt of the mailed Notice and asserting justification for charging the deposits as financial security. This email will be considered as Respondent’s response (“Response”).

² Respondent’s Response also asserts that CMA CGM recently informed Respondent that Claimant misdeclared and shipped prohibited e-waste cargo to Port Klang, which allegedly resulted in that carrier charging Respondent \$34,000 in penalties and related costs that Claimant has refused to reimburse. Because these allegations are unrelated to the claims presented in this proceeding, they are outside the scope of this case and are not addressed in this decision.

On May 12, 2026, Claimant filed a Clarified Response Regarding Respondent’s USD 20,000 Deposit (“Reply”).

On July 21, 2026, a Notice of Assignment (“NOA”) was issued assigning the case to the undersigned Small Claims Officer (“SCO”). *See* NOA.

II. FINDINGS OF FACT (“FF”)

1. Claimant, CE Global Network LLP, is an international freight forwarder incorporated under the laws of Singapore. Claimant partners with Yuwie Global, Inc. (“Yuwie”) who is the exporter of the cargo at issue.
2. Respondent, Ocean Line Logistics, Inc, is a non-vessel-operating common carrier (“NVOCC”) incorporated in the United States. Respondent is licensed as an NVOCC with the FMC under Organization No. 022035 with a principal place of business in Arcadia, California. <https://www2.fmc.gov/oti/> (last visited July 30, 2026).
3. It is undisputed that, between November 2025 and February 2026, Claimant, acting as a logistics partner for Yuwie, contracted with Respondent for transport of the following shipments from the United States to Port Klang, Malaysia (“the nine shipments”):

Bill of Lading	Invoice	Freight Charges
NAM7963577	INV-12296	\$2,765
NAM8163341	INV-12373	\$1,765
NAM8041298B	INV-12376	\$2,015
NAM8118058B	INV-12348	\$1,315
NAM8118148	INV-12363	\$4,200
NAM8254584 ³	INV-12380	\$2,765

³ The original Claim paragraph C included a clerical error including shipment NAM8230520A invoice INV-12343-R1 in the list of shipments rather than shipment NAM8254585 invoice INV-12380. Claimant corrected this in an email to Judges@FMC.com dated July 20, 2026.

NAM8254877B	INV-12388	\$1,315
NAM8254877C	INV-12389	\$2,565
NAM8254877A	INV-12396	\$2,565

See Claim; Response.

4. Respondent appears as the shipper on the bills of lading issued by CMA CGM for the nine shipments. Claim, at Exhibit 11.
5. On February 14, 2026, Respondent emailed Claimant a statement of unpaid invoices advising Claimant that it would need to make full payment and provide release instructions for release of the cargo. *Id.* at Exhibit 7.
6. Respondent issued invoices for multiple shipments on January 29, 2026 and February 18, 2026, that included the charges for the nine shipments. *Id.* at Exhibits 3 and 4. The Claimant paid these invoices in full. *Id.* at Exhibits 1 and 2.
7. On February 21, 2026, Claimant emailed Respondent that all outstanding payments had been made stating “once received please surrender or updates seaway BL to all the BLs this coming week.” *Id.* at pg. 3 and Exhibit 7.
8. On February 28, 2026, Respondent emailed Claimant stating “[t]hen we have to get \$5000/ctnr deposit first to deal with these cntr to avoid the cnee disappearing.” The subject line of this email referenced different shipments with bill of lading numbers DALA41909300, DALA41909302, DALA41909303, DALA41909304. *Id.* at pg. 3 and Exhibit 8.
9. Respondent issued invoices INV-12456, INV-12457, INV-12458, and INV-12459 associated with shipments DALA41909300, DALA41909302, DALA41909303, and DALA41909304. Each invoiced amount was \$5,000 describing the charge as a “deposit.” Invoice remarks state that cargo would be released only upon receipt of ocean freight payment and shipper release instructions. Payment was to be made to the account of Ocean Line Logistics, Inc. *Id.* at Exhibit 5.
10. A different entity, Ocean Link Forwarding, Inc., is listed as shipper on the Sea Waybills issued by HMM America for shipments DALA41909300, DALA41909302, DALA41909303, and DALA41909304. *Id.* at Exhibit 6.
11. Ocean Link Forwarding, Inc. is licensed with the FMC under Organization No. 023133 as an NVOCC with a principal place of business in San Jose California.
<https://www2.fmc.gov/oti/> (last visited July 30, 2026).

12. On March 11, 2026, Claimant disputed the “deposit” invoices for unrelated shipments DALA41909300, DALA41909302, DALA41909303, and DALA41909304, arguing that the entity who acted as NVOCC for those shipments was Ocean Link Forwarding, Inc., a legal entity distinct from Ocean Line Logistic, Inc. Claimant further asserted that Respondent “cannot leverage the assets of one entity to secure unproven liabilities of another.” Additionally, Claimant contended that Respondent failed to provide any cost-to-cost invoices from HMM, therefore, the demand of \$20,000 as a deposit was commercially groundless. Claimant proposed a third-party escrow arrangement as an alternative to paying cash deposits for release of the shipments. Claim, at Exhibit 9; Supplement, at pg. 11.
13. On March 18, 2026, Respondent emailed Claimant explaining that “[t]he \$5,000 deposit we billed is required as a commitment to ensure your active efforts toward resolving the long-staying container issue.” *Id.* at pg. 5 and Exhibit 10.
14. Respondent replied to Claimant stating it does not use third-party escrow and that cash deposits to its bank account would be required. In addition, the cost-to-cost invoices are confidential agreements with the carrier and cannot be shared. *Id.* Respondent continued to reject further settlement proposals. *See* Supplement.
15. On April 9, 2026, after several emails from Claimant stating Respondent was violating the Shipping Act by withholding release of the cargo as leverage for unrelated invoices, Respondent reiterated that it would not release the shipments at issue until it received the \$20,000 deposit on the HMM shipments. *Id.* at pg. 9.
16. On April 11, 2026, Claimant advised Respondent that it paid the disputed invoices under protest and provided evidence that the funds were transferred to Respondent’s account. *See* April 11, 2026 Email Chain and attached bank transfer confirmation.
17. On April 13, 2026, Respondent sent Claimant the sea waybills for release of the nine shipments at issue. April 13, 2026 Email Chain.
18. On April 21, 2026, Respondent emailed Claimant stating “[y]ou have many cntr longstanding at port klang due to misdeclaring the cargo on purpose. What’s your action? You only paid 4 cntr deposit. You need to pay for the rest. *See* April 21, 2026 Email Chain at 6:28.

III. ANALYSIS AND CONCLUSIONS OF LAW

A. Burden of Proof

To prevail in a proceeding to enforce the Shipping Act, a complainant bears the burden of proving their allegations by a preponderance of the evidence. 5 U.S.C. § 556(d); 46 C.F.R. § 502.203; *Maier Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Docket No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). Under the preponderance standard, a complainant must show that their allegations are more probable than not. *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 2021 WL 3732849, at *3-4 (FMC Aug. 18, 2021) (Order Affirming Initial Decision on Remand). It is appropriate to draw inferences from certain

facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient; however, such findings may not be drawn from mere speculation. *Waterman Steamship Corp. v. General Foundries, Inc.*, Docket No. 93-15, 1993 WL 13975538, at *13 (ALJ Dec. 9, 1993), adopted in relevant part, 1994 WL 279898 (FMC June 13, 1994).

B. Alleged Violation of 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.4

Claimant asserts that Respondent violated 46 U.S.C. § 41102(c) by engaging in the unjust and unreasonable practice of withholding release documents on nine paid shipments until Claimant paid “deposits” against possible non-collection of four containers previously shipped with Respondent’s affiliate company on different bills of lading with another carrier. Claimant asserts these are speculative costs, unsupported by any valid tariff item, NRA, service contract, written agreement, carrier invoice, debit note or other documentation authorizing Respondent to collect a container deposit charge as security. *See* Claim.

Section 41102(c) of the Shipping Act, formerly 10(d)(1), prohibits “common carriers, marine terminal operators, and ocean transportation intermediaries from failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering of property.” 46 U.S.C. § 41102(c). The Commission promulgated 46 C.F.R. § 545.4 to clarify the elements required to establish a violation of section 41102(c). *See Interpretive Rule, Shipping Act of 1984 (Final Rule)*, 83 FED. REG. 64478, 64479-80 (Dec. 17, 2018).

Under 46 C.F.R. § 545.4, a complainant must establish the following elements to prevail on a claim under section 41102(c):

- a. Respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- b. The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- c. The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- d. The practice or regulation is unjust or unreasonable; and
- e. The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

To satisfy the first element, Claimant must demonstrate that Respondent was operating as a regulated entity - namely, a common carrier, marine terminal operator, or ocean transportation intermediary. 46 C.F.R. § 545.5(a). An “ocean transportation intermediary” (OTI) is defined as either an ocean freight forwarder or a non-vessel-operating common carrier. 46 U.S.C. § 40102(20). The Shipping Act defines NVOCC as a common carrier that does not

operate the vessels by which ocean transportation is provided and is a shipper in its relationship with an ocean common carrier. 46 U.S.C. § 40102(17).

Claimant states that, as a foreign freight forwarder, it contracted with Respondent, an NVOCC licensed in the United States, to arrange ocean transportation for the shipments at issue from the United States to Malaysia. *See* Claim. Respondent did not dispute that it acted as an NVOCC for the transactions. *See* Response. The record establishes that Respondent is licensed with the FMC as an NVOCC, and consistent with this statutory role, appears as the shipper of record on all nine CMA CGM issued bills of lading. FFs 2, 4. By contracting with Claimant to provide ocean transportation services and acting as a shipper in its dealings with the underlying ocean carrier, Respondent was operating as an ocean transportation intermediary and qualifies as a regulated entity under the jurisdiction of the FMC.

The second element requires that the challenged conduct occur on a normal, customary, and continuous basis rather than as an isolated or one-time occurrence. 46 C.F.R. § 545.4(b); *see USL Auto Exporting, Inc. v. Easy Shipping Co.*, Docket No. 23-13, 2025 WL 1181598, at *18 (FMC April 16, 2025) (citing *Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight Int'l, Inc.*, Docket No. 17-02, 2020 WL 5406762, at *5 (FMC Sept. 1, 2020) order affirming initial decision on remand).

The evidence in the present case demonstrates that Respondent's practice requiring security deposits extended beyond the nine shipments at issue. Respondent explained that it required this security on all long-standing containers, of which Respondent purports there were many. *See* Response. Respondent further stated that these security deposits were necessary because Claimant had other uncollected containers and Respondent had difficulty recovering charges from Claimant as a foreign entity. *Id.* Consistent with this stated policy, Respondent invoiced Claimant for four \$5,000 per container security deposits for past shipments that were accruing detention and demurrage. FF 9. Moreover, correspondence exchanged after filing of the Claim establishes that Respondent continued to require security deposits on other shipments even after Claimant paid the \$20,000 deposits under protest for DALA41909300, DALA41909302, DALA41909303, and DALA41909304. FF 18. Respondent also provided a list of Claimant's other shipments that would be arriving soon and would require additional deposits. *See* Response, at Exhibit A. Although those later charges are not the basis of this proceeding, they demonstrate that Respondent continued to impose the same security deposit requirement as part of its ongoing course of dealing with Claimant.

The evidence, therefore, establishes that Respondent repeatedly used its control over Claimant's cargo to secure payment of these purported security deposits. Respondent's repeated assessment of deposits on shipments beyond those at issue confirms that the challenged conduct was not an isolated instance but constituted a normal, customary, and continuous practice within the meaning of 46 C.F.R. § 545.4(b).

The third element requires that the challenged conduct occur in connection with the receiving, handling, storing, or delivering of property. 46 C.F.R. § 545.4(c). That requirement is patently met here. Respondent's refusal to provide release documents for nine shipments after the freight charges were fully paid directly impacted Claimant's ability to collect cargo, which involves the receiving, handling, storing, or delivering property. *Id.*

The primary issue is whether Respondent's challenged conduct equates to an unjust and unreasonable practice. 46 C.F.R. § 545.4(d). Respondent invoiced Claimant for \$5,000 security deposits on four shipments arranged through a distinct but affiliate entity, Ocean Link Forwarding, Inc. FFs 10, 11. Respondent asserted that it was legally responsible for any detention and demurrage charges that continued to accrue and required deposits as security against this future liability. *See Response*. Respondent stated that the deposit funds would be refunded once the containers were collected and returned to port empty. Respondent did not assess the deposits in connection with the nine shipments at issue. Instead, they related to earlier, separate shipments that had already reached the port. Respondent, nevertheless, conditioned release of the nine later shipments on Claimant's payment of the deposits associated with those earlier transactions. FFs 8, 13, 15.

Respondent justified these charges as leverage to ensure Claimant would have the consignee pick up the container promptly and avoid detention and demurrage charges from accruing. *See Response*. However, Respondent did not identify any contractual provision, tariff, bill of lading term, or statutory or regulatory authority authorizing it to charge security deposits against potential future liability, nor explained how it calculated the amount of \$5,000 per container.

The Commission need not determine whether Respondent could lawfully request such security under the facts in the present case. Even assuming *arguendo* that Respondent believed it could lawfully request security for potential future detention and demurrage liability, that belief did not authorize Respondent to withhold unrelated cargo to compel payment of the disputed charges.

Rather than pursuing collection of the disputed security deposits through appropriate means or accepting Claimant's proposal that the funds be held in a neutral third-party escrow account, Respondent withheld the release documents for the nine fully paid shipments. Respondent conditioned release of those shipments upon Claimant's payment of the security deposits assessed in connection with different shipments that had been arranged through Ocean Link Forwarding, Inc. *Id.* The security deposits, therefore, constituted an unrelated obligation that Respondent sought to collect by leveraging its control over cargo otherwise entitled to release.

The Commission has long held that withholding a bill of lading or other shipping documents necessary to secure the release of cargo in order to compel payment of an unrelated debt or obligation constitutes an unjust and unreasonable practice under section 41102(c). In *Bernard*, the Commission held that "disputes over earlier unrelated shipments cannot be used by either a carrier or a shipper as justification for refusing to release the cargo or pay lawful freight money." *See Bernard & Weldcraft Welding Equip. v. Supertans Int'l*, Docket No. 02-12, 2003 WL 136313, at *14 (ALJ Jan. 8, 2003), admin. final Feb. 12, 2003; *Petra Pet, Inc. v. Panda Logistics, Ltd.*, Docket No. 11-14, 2012 WL 11914703, at *17, *22 (ALJ Aug. 14, 2012), *aff'd*, 2013 WL 9808694 (FMC Oct. 31, 2013); *Brewer v. Maralan (aka Sam Bustani) and World Line Shipping, Inc.*, Docket No. 99-19, 2001 WL 122035, at *4 (FMC Jan. 3, 2001) (citing *Total Fitness Equipment v. Worldlink Logistics, Inc.*, 28 S.R.R. 534, 541, 1998 WL 940255 (FMC 1998), *aff'd sub nom. Worldlink Logistics, Inc. v. Fed. Mar. Comm'n*, 203 F.3d 54 (D.C. Cir. 1999)). Those decisions establish that, regardless of whether a carrier believes it is

entitled to money or claims a lien, it acts unreasonably when it conditions release of cargo upon payment of debts arising from separate transactions.

That principle applies directly to the present case. The nine shipments were fully paid and were otherwise entitled to release. FF 6. Respondent refused to provide the release documents unless Claimant first paid the disputed security deposit invoices relating to other shipments. FFs 8, 13, 15. In doing so, Respondent leveraged its control over cargo to compel payment of obligations arising from unrelated transactions. This is precisely the type of coercive commercial practice that the Commission has repeatedly held to be unjust and unreasonable under section 41102(c).

The final element requires Claimant to establish that Respondent's unjust and unreasonable practice was the proximate cause of Claimant's alleged injury. 46 C.F.R. § 545.4(e). The record establishes that Respondent refused to release the documents necessary for Claimant to obtain delivery of the nine shipments unless Claimant first paid the disputed \$20,000 security deposits. FFs 8, 13, 15. Claimant ultimately remitted the disputed deposits in order to secure release of the shipments. FF 16. Without Respondent's unjust and unreasonable actions, Claimant would not have made the disputed payment. The causal connection between Respondent's violation of section 41102(c) and Claimant's financial injury is satisfied.

For the foregoing reason, Claimant has established by a preponderance of the evidence that Respondent violated 46 U.S.C. § 41102(c) by engaging in unjust and unreasonable practices in connection with the receiving, handling, storing, or delivering of property. Claimant is, therefore, entitled to relief as discussed below.

C. Claimant is Entitled to Reparations

Under section 41305, the Commission has the authority to award reparations for actual injury caused by violation of the Shipping Act in order to restore the injured party to the position it would have been in absent the violation. 46 U.S.C. § 41305; *Adebisi Adenariwo v. BDP Int'l*, Docket No. 1921(I), 2013 WL 12618258, *7 (FMC March 7, 2013) (citing *Brewer v. Maralan (aka Sam Bustani) and World Line Shipping, Inc.*, 28 S.R.R. 1331, 1336 (ALJ 2000)). A finding that Respondent violated the Shipping Act, standing alone, is insufficient to entitle Claimant to reparations. Rather, a claimant has the burden to demonstrate that it suffered an actual injury and that this injury was proximately caused by violation of the Shipping Act. See *Tienshan, Inc. v. Tianjin Hua Feng Transport Agency Co., Ltd.*, Docket No. 08-04, 2011 WL 7144007, at *18 (FMC March 9, 2011); *Flanagan Shipping Co. v. Lake Charles Harbor and Terminal Dist.*, 30 S.R.R. 8, 13 (FMC 2003).

Here, the record establishes that on April 11, 2026, Claimant paid Respondent the \$20,000 disputed security deposit invoices to secure release for the nine paid shipments. FF 16. Claimant informed Respondent that it was doing so under protest and that it reserved its right to continue pursuing reimbursement of these funds for Respondent's violation of the Shipping Act. See April 11, 2026 Email Chain. Because Respondent's collection practices violated section 41102(c), Claimant is entitled to reparations in the amount of \$20,000 representing reimbursement for the improper security deposits. In addition, Claimant is entitled to interest

from April 11, 2026, the date of injury, to fifteen (15) days from the date of service of this order. Interest shall be calculated pursuant to 46 C.F.R. § 502.253. *See* 46 U.S.C. § 41305(a).

IV. ORDER

Upon consideration of the record herein, the arguments of the parties, the findings and conclusions set forth above, it is hereby

ORDERED that the Claim is **GRANTED**. It is

FURTHER ORDERED that Respondent violated 46 U.S.C. § 41102(c) and must pay Claimant reparations in the amount of \$20,000, together with interest calculated pursuant to 46 C.F.R. § 502.253 from April 11, 2026, the date of injury.

SO ORDERED

**DEBRA L.
TESH -S**

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Debra L. Tesh
Small Claims Officer